

CONSUMER

Q4 2026 M&A Sector Report

OCTOBER 2026 | JARED HARDIN | MANAGING DIRECTOR | BENCHMARK INTERNATIONAL

The quarter in brief

Buyers of consumer businesses are paying for brands that have held price and volume, for companies that sell through more than one channel and for operators with room to grow distribution or add locations. Those buyers have stayed active while the cost of financing a purchase has risen. Strategic acquirers have committed more than $120 billion to three transactions since November 2025: Kimberly-Clark's purchase of Kenvue, McCormick's combination with Unilever's food business and Sysco's agreement to buy Jetro Restaurant Depot. Consumer services drew large commitments as well, with Leonard Green & Partners completing a $3.1 billion take-private of Mister Car Wash in May, Boyd Group closing its purchase of Joe Hudson's Collision Center for about US$1.3 billion in January and Blackstone agreeing in February to buy the home services platform Champions Group for about $2.5 billion.

$120B+

Committed by strategic acquirers to three consumer transactions since November 2025

75%

Share of US private equity buyouts in the second quarter of 2026 that were add-on acquisitions

$6.38

Price of a gallon of diesel on September 28, against about $3.75 a year earlier

9x to 17x

EBITDA multiples of public food, consumer staples and restaurant companies

Information as of October 5, 2026. Public-company multiples are reference points, and a private company's price depends on the business itself.

01 Overview

On September 16 the Federal Reserve raised its policy rate for the first time since it began cutting in 2024. A founder or family owner in food, consumer products, foodservice distribution or consumer services is therefore selling into a market where the largest strategic and financial buyers are active and where every leveraged bid costs more to finance than it did in the spring.

- **Deal count is down and deal size is up.** PwC counts 4,653 US transactions worth $1.2 trillion in the first five months of 2026, against 4,851 worth $603 billion a year earlier. Global consumer deal volume is on track to decline by 12% in 2026 on activity through May, while megadeals have risen to 47% of value.
- **The middle of the market is gaining share of consumer M&A.** Bain reports that deals of $30 million to $500 million rose from 30% to 37% of global strategic consumer-products deal value over five years, and that divestitures made up nearly half of consumer-products M&A through 2024.
- **Add-on acquisitions are the main route to a financial buyer.** PitchBook estimates that add-ons accounted for about 75% of US private equity buyouts in the second quarter of 2026.
- **Borrowing costs have turned higher.** The federal funds target range is 3.75% to 4.00%, bank prime is 7.00% and the 10-year Treasury yield closed September at 5.29% (Federal Reserve H.15). The Fed's September projections put the policy rate at 4.1% at the end of both 2026 and 2027.
- **Spending is rising in dollars while sentiment and packaged goods volumes weaken.** Retail and food services sales rose 6.0% year over year in August, yet the University of Michigan sentiment index fell to 48.1 in September and the largest packaged food companies continue to report flat or falling volume.
- **Energy has reset the cost base.** On-highway diesel averaged $6.38 per gallon on September 28, up from about $3.75 a year earlier, which raises delivered costs for distributors and operating costs for route-based service businesses.

INDICATOR	LATEST READING	COMPARISON	SOURCE
Federal funds target range	3.75% to 4.00%, raised 25 bp on Sep 16, 2026	3.50% to 3.75% from Dec 11, 2025	Federal Reserve
Bank prime rate	7.00% (Sep 30, 2026)		Fed H.15
10-year Treasury yield	5.29% (Sep 30, 2026)	5.18% on Sep 24	Fed H.15
30-year fixed mortgage rate	7.28% (Oct 1, 2026)	6.34% a year earlier	Freddie Mac
Consumer prices, all items	+3.4% year over year (Aug 2026)	Core +2.4%	BLS
Consumer prices, energy	+16.3% year over year (Aug 2026)		BLS
Food at home / food away from home	+2.2% / +3.4% year over year (Aug 2026)		BLS
On-highway diesel	$6.38 per gallon (Sep 28, 2026)	About $3.75 a year earlier	EIA
Retail and food services sales	+6.0% year over year (Aug 2026)	+5.6% excluding autos and gasoline	Census Bureau
Real GDP	+2.2% annualized (Q2 2026, third estimate)		BEA
Personal saving rate	4.1% (Aug 2026)	PCE price index +3.4%	BEA
Unemployment rate	4.2% (Sep 2026)	Payrolls +29,000	BLS

INDICATOR	LATEST READING	COMPARISON	SOURCE
Existing-home sales	3.98 million annualized (Aug 2026)	Down 1.2% year over year	National Association of Realtors
Consumer sentiment (Univ. of Michigan)	48.1 (Sep 2026)	55.1 in Sep 2025	Surveys of Consumers
Consumer confidence (Conference Board)	81.9 (Sep 2026)	88.6 in Aug 2026	Conference Board

The Federal Reserve cut three times in late 2025, held through the summer and then raised the target range by a quarter point on September 16 on a 12 to 0 vote, stating that inflation "remains elevated." Its September projections show a median policy rate of 4.1% at the end of 2026 and again at the end of 2027, with PCE inflation of 3.7% this year, so the Fed's own projections offer a buyer relying on floating-rate debt no relief through 2027. Bank credit has stayed available through the move: the Fed's July 2026 loan officer survey found commercial and industrial lending standards basically unchanged for firms of all sizes, with loan spreads narrowing for large and middle-market borrowers.

The Energy Information Administration attributes the rise in fuel to constrained Middle East exports and reduced flows through the Strait of Hormuz, and it forecasts retail diesel averaging $5.07 this year and $4.40 next year. Regular gasoline at $4.47 per gallon adds to household fuel bills, and diesel above $6 raises costs for distributors, restaurant suppliers, landscapers, roofers and every other consumer business that runs a fleet.

02 Where We Focus

Benchmark International's consumer practice covers four segments, and its records as of October 1, 2026 show 32 transactions closed in those segments since January 2025 and 110 live engagements.

SEGMENT	WHAT IT COVERS	BENCHMARK INTERNATIONAL: CLOSED SINCE JANUARY 2025	LIVE ENGAGEMENTS
Food & Beverage	Producers and distributors of food and beverage products, including bakery, dairy, seafood, supplements and confectionery	4	27
Consumer Brands & Products	Branded products sold through several channels, including outdoor and recreation, beauty and wellness, sporting goods and specialty manufacturing	2	12
Foodservice & Distribution	Equipment, parts and supply distributors serving restaurants, hospitality and retail, together with sales agencies for consumer packaged goods	6	5
Consumer Services & Retail	Multi-site and route-based consumer services such as car wash, collision repair, equipment rental and home services, together with restaurant and retail operators	20	66
Total		32	110

03 WHERE WE FOCUS

Food & Beverage

The largest packaged food companies are reporting flat or falling volume, and their response is to sell slower-growing brands and buy growth, capacity and ingredients from smaller companies. USDA counts 42,708 food and beverage processing establishments in the United States, employing 1.7 million people.

42,708
Food and beverage processing establishments in the United States

21.3%
Private-label share of dollar sales in 2025

14.6x
Multiple of operating income Sysco stated for Jetro Restaurant Depot



General Mills reported flat organic sales and a one-point volume decline for its fiscal first quarter of 2027 (June through August 2026), with North America Retail down 3% and Foodservice up 4%. Conagra's comparable quarter showed organic sales down 1.1%, volume down 2.1% and retail unit sales down 3.3%, and its chief executive said consumers "continue to be thoughtful about where they spend their dollars." Shoppers who trade down are moving to store brands: private label reached 21.3% of dollar sales and 23.5% of unit sales in 2025, with store-brand dollars up 3.3% against 1.2% for national brands, according to Circana data published by the Private Label Manufacturers Association.

The growth that large companies report is in protein, zero-sugar beverages, supplements and foodservice. General Mills' protein cereals have reached about $200 million of retail sales with double-digit growth, Dr Pepper Zero Sugar has passed $1 billion of retail sales with 30% growth, and Hormel's foodservice segment now contributes about half of company profit. Procter & Gamble agreed in August to pay $3.8 billion for the supplement company Thorne, while Nestlé sold its mainstream vitamin brands to Yellow Wood Partners for $1.0 billion against $1.2 billion of 2025 sales. Beer is contracting, with US volume down 5.7% in 2025, craft volume down 4% and the number of craft breweries down 2.9% to 9,578.

Federal policy and consumer health trends are also reshaping demand for packaged food. USDA has approved waivers in 23 states restricting SNAP purchases of items such as soda and candy, KFF found that 12% of US adults were taking a GLP-1 drug in late 2025, and the 2025–2030 Dietary Guidelines discourage highly processed foods and raise the recommended protein intake.

In food distribution, the national broadliners are growing case volume with independent restaurants while restaurant traffic falls, and Sysco and Performance Food Group have both announced acquisitions this year.

DISTRIBUTOR	PERIOD	SALES GROWTH	CASE VOLUME
Sysco	Fiscal Q4 2026 (Apr–Jun 2026)	+4.7% to $22.1 billion	US local volume +2.6%
US Foods	Q2 2026 (Apr–Jun 2026)	+4.5% to $10.5 billion	Independent restaurants +5.1%; chains –1.5%
Performance Food Group	Fiscal Q4 2026 (Apr–Jun 2026)	+6.4% to $18.0 billion	Independent +8.0%, of which organic +5.8%
Chefs' Warehouse	Q2 2026 (Apr–Jun 2026)	+12.9% to $1.17 billion	Specialty cases +6.0%; center-of-plate pounds +8.8%

Sysco agreed on March 30 to acquire Jetro Restaurant Depot for an enterprise value of about $29.1 billion, adding 166 cash-and-carry warehouse stores, and stated the price as 14.6 times Jetro's 2025 operating income. Performance Food Group and US Foods ended merger discussions in November 2025, and on September 30 Performance Food Group announced the

acquisition of Cash-Wa Distributing, a family-rooted broadliner in Kearney, Nebraska.

DATE (2026)	BUYER (TYPE)	TARGET	BUSINESS	SELLER OR TERMS
Sep 30	Hormel Foods (public strategic)	Brakebush Brothers	Prepared chicken	About $1.06 billion
Sep 30	Performance Food Group (public strategic)	Cash-Wa Distributing	Broadline distributor; Kearney, NE	Not disclosed
Sep 29	Agri Exotic Trading (strategic)	Mellone Wholesale Produce	Produce distributor; Hackensack, NJ	Not disclosed
Sep 17	C.H. Guenther (family-owned strategic)	House-Autry Mills	Breading, batters and mixes; NC and GA	Private
Sep 3 (closed)	HF Foods (public strategic)	Searay Foods	Frozen specialty seafood distributor	C$47.9 million; 5.0x projected EBITDA
Aug 25	Sweetmore Bakeries (strategic)	Fantasy Baking Co.	Cookies and bars; Sylmar, CA	Private, 45+ years
Aug 14	Solina (strategic, France)	Epicurean Butter	Flavored butter; Thornton, CO	HC Private Investments
Jul 31	Sargento Foods (family-owned strategic)	La Terra Fina	Dips, spreads and quiche; Union City, CA	Catamount Management
Jul 24	Vita Coco (public strategic)	Copra Inc.	Frozen organic coconut water and meat	Private; $175 million
Jul 1	Acon Investments (private equity)	YumEarth	Clean-label candy; Stamford, CT	Founders
Jun 23	Europastry (strategic, Spain)	Highland Baking	Foodservice bread and buns; IL and SC	Rosen family, founded 1985
Jun 18	Rise Baking (strategic)	Jimmy's Gourmet Bakery	Cookies and artisan bread; Clifton, NJ	Private
May 20	Guardian Capital Partners (private equity)	Nugredient Solutions	Nut-based ingredients; Modesto, CA	Founder, retains a stake
May 19	Carmela Foods (family-owned strategic)	J. Prescott Company	Specialty food distributor; Cincinnati	Founder-owned
Apr 15	GrubMarket (technology-enabled platform)	Schoenmann Produce	Produce distributor; Houston	Family-led since 1910
Mar 26	CK Snacks (platform)	Keystone Food Products	Tortilla chips and private-label snacks; Easton, PA	Private
Feb 10	Arbor Investments (private equity)	Furlani Foods	Garlic bread and Texas toast	Entrepreneurial Equity Partners
Jan 28	Western Smokehouse Partners (platform)	Junior's Smokehouse	Jerky and sausage; El Campo, TX	Private
Jan 27	Rich Products (family-owned strategic)	Great Kitchens Food Co.	Take-and-bake pizza; IL and MA	Brynwood Partners
Jan 21	Highlander Partners (private equity)	Tapatio	Hot sauce	Saavedra family, retains a minority

Founder-owned food companies are drawing bids from family-owned strategics such as Rich Products, Sargento and C.H. Guenther, bakery consolidators such as Rise and Sweetmore, private equity firms building platforms in sauces, snacks, ingredients and confectionery, European strategics using acquisitions to enter the United States,

and distributors adding geography and product categories.

Benchmark International has closed four transactions in its Food & Beverage segment since January 2025 and has 27 live engagements there. The live engagements include meat, dairy, produce and seafood processors, bakeries and snack producers, coffee roasters, wineries, breweries and a cidery, food and wine distributors, and nutrition and supplement brands.

04 WHERE WE FOCUS

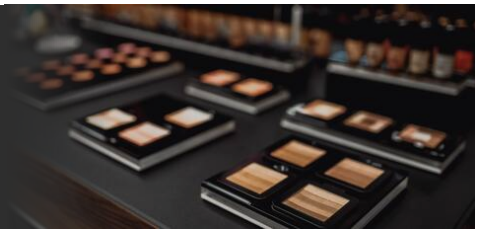
Consumer Brands & Products

Beauty, personal care, over-the-counter health and pet products have drawn a large share of the consumer brand acquisitions announced in 2026, and beauty and pet spending are still growing in dollars. Durable, outdoor and housing-linked categories are growing slowly or shrinking, and brands with heavy import exposure have operated under three tariff regimes since April 2025.

7%
Growth in both prestige and mass beauty sales in the first half of 2026

17.1%
E-commerce share of retail sales in the second quarter of 2026

12.5%
Section 301 tariff on goods from China and Vietnam since July 24



CATEGORY	LATEST READING	SOURCE
Beauty	Prestige $17.1 billion and mass $39.2 billion in the first half of 2026, each up 7%	Circana
Pet	$158 billion in 2025, up 3.7%; $165 billion projected for 2026	American Pet Products Association
Toys	Dollar sales up 17% and units up 12% in the first half of 2026	Circana
Outdoor	183.2 million participants in 2025, a record, with fewer outings per participant than in 2019	Outdoor Industry Association
Outdoor cooking	Traeger revenue down 17.4% to $120.2 million in Q2 2026, with grill revenue down 17.0% on lower average selling prices	Traeger
E-commerce	$340.2 billion in Q2 2026, up 12.2% year over year and 17.1% of retail sales	Census Bureau
Total retail, 2026 forecast	Up 4.4% to $5.6 trillion	National Retail Federation

Dollar growth overstates unit demand in several of these categories. Circana's all-retail read for June showed non-edible consumer packaged goods up 3.1% in dollars and down 2.2% in units, and Central Garden & Pet described "a competitive and promotional retail environment" and "a value-oriented consumer" in its August results. Deloitte forecasts holiday retail sales up 4.0% to 4.8%, with e-commerce up 7.5% to 8.4%.

The Supreme Court held on February 20, 2026, that the International Emergency Economic Powers Act does not authorize tariffs, which invalidated the 2025 reciprocal duties. A temporary 10% Section 122 tariff followed, and since July 24 the administration has applied Section 301 tariffs of 10% to 12.5% on 60 trading partners, with China and Vietnam at 12.5% and Mexico, Canada and India at 10%. Section 232 duties on steel, aluminum and furniture were untouched by the ruling, including a 25% duty on

upholstered furniture, and duty-free treatment for shipments under $800 remains suspended for all countries.

Importers are receiving refunds of the invalidated duties. YETI recorded a $45.6 million net benefit in its second quarter, Traeger reported that a refund lifted its second-quarter gross margin, and Walmart said it reinvested its refunds into price. Buyers now ask sellers for landed-cost history under each regime and for the status of any refund claim, because both change normalized margin.

Packaging has become a compliance cost for brand owners as well. California's SB 54 packaging regulations became effective on May 1, 2026, a federal court upheld Oregon's producer responsibility program on August 27, and Minnesota, Maryland and Washington have enacted programs that phase in producer responsibility for up to 90% of recycling system costs between 2029 and 2032.

DATE (2026)	BUYER (TYPE)	TARGET	BUSINESS	TERMS
Sep 1	Randa Apparel & Accessories (strategic)	UNTUCKit	Menswear, 70+ stores and e-commerce	Not disclosed
Aug 25	TowerBrook Capital Partners (private equity)	Rael	Period care and skincare, 40,000+ doors	Not disclosed
Aug 6	The Farmer's Dog (strategic)	Woof	Dog enrichment products, founded 2019	Not disclosed
Jul 30	TSG Consumer Partners (private equity)	Saltair	Body care	Majority stake, not disclosed
Mar 31	Advent International (private equity)	Salt & Stone	Body care, $165 million of 2025 revenue	Majority stake; founder remains CEO
Mar 20	Prestige Consumer Healthcare (public strategic)	Breathe Right, Dimetapp, Anbesol	Over-the-counter health brands	$1.045 billion; 11.0x EBITDA (Prestige)
Mar 9	Henkel (strategic)	Not Your Mother's	Haircare, Tampa, founded 2010	About €800 million on about €190 million of sales, as reported
Jan 26	Procter & Gamble (strategic)	Wonderbelly	Over-the-counter antacids, founded 2021	Not disclosed
Jan 22	Clorox (strategic)	GOJO Industries	Purell; family-led, Akron, founded 1946	$2.25 billion
Jan 20	Bluestone Equity Partners (private equity)	Selkirk Sport	Family-owned pickleball equipment, Idaho	Minority investment, first outside capital
Jan 19	SouthWorth Capital Management (family office)	American Furniture Manufacturing	Domestic upholstered furniture, Mississippi	Not disclosed
Jan 15	Acme United (public strategic)	My Medic	Direct-to-consumer first-aid kits, about $19 million of revenue	$18.7 million
Jan 8	Centric Brands (strategic)	Fownes Brothers	Family-owned cold-weather accessories	Not disclosed

Brand-management firms are a further buyer group for apparel and heritage names. Authentic Brands Group agreed to buy Lee from Kontoor Brands for $750 million plus a $250 million earn-out, and WHP Global and G-III agreed to buy Marc Jacobs from LVMH.

Benchmark International has closed two transactions in its Consumer Brands & Products segment since January 2025 and has 12 live engagements there, among them furniture, apparel and uniform manufacturers, accessories brands and personal care and specialty product companies.

05 WHERE WE FOCUS

Foodservice & Distribution

Restaurant operators are spending carefully as customer traffic falls, and equipment sales through the dealer channel have slowed to low single-digit growth, yet dealers, parts and service companies and route operators continue to acquire regional competitors. The National Restaurant Association forecasts $1.55 trillion of restaurant and foodservice sales in 2026, with real growth of 1.3%, and food away from home took 56.3% of US food spending in 2025.

$1.55T
Restaurant and foodservice sales forecast for 2026

2.0%
Growth in equipment and supplies sales through manufacturers' agents in the second quarter

91%
Equipment manufacturers reporting negative effects from tariffs



Census data show food services and drinking places sales up 5.8% year over year in August, while menu prices rose 3.4%. In the association's July Restaurant Performance Index, 49% of operators reported lower customer traffic than a year earlier, and Black Box Intelligence measured same-store sales up 1.8% and traffic down 2.0% in May.

The manufacturers' agents who sell equipment and supplies to dealers reported sales up 1.0% in the first quarter of 2026, with equipment up 0.9%, supplies up 4.9%, furniture up 0.6% and tabletop down 0.5%, after growth of 2.4% in the fourth quarter of 2025. The number of projects specified through the association's tracking service fell about 13% from a year earlier, and the report's commentary pointed to inflationary pressure from food, gasoline, tariffs and transportation. Second-quarter sales rose 2.0%, with equipment up 1.8%, while the share of agents reporting more quoting activity fell to 33% from 44% in the first quarter. A June proclamation set Section 232 duties at 50% on primary steel, aluminum and copper and 25% on most derivative products, which bears on the metals that commercial kitchen equipment is built from, and in a March survey by the equipment manufacturers' association 91% of members reported negative effects from tariffs and 78% said they were passing the cost on to customers. Middleby has grown faster than the channel, reporting commercial foodservice net sales of $630.6 million in the second quarter and organic growth of 8% after separating its food processing business in July and selling a majority of its residential kitchen group, while Illinois Tool Works reported flat organic revenue in its food equipment segment for the same quarter.

Franchisee distress is the weak point among the customers these distributors serve. Meritage Hospitality Group, a 314-unit Wendy's franchisee, filed for Chapter 11 in September after store-level EBITDA fell 48%, and at least ten significant multi-unit franchisees have filed in 2026, including operators of Popeyes, Subway, Applebee's, Hardee's and Carl's Jr. A dealer or parts distributor selling to chains and franchisees carries that credit exposure in its receivables, and buyers examine it closely.

Parts, repair and equipment subscription businesses changed hands throughout 2026. Parts Town acquired the repair-management software company 86 Repairs in June, Tech24 acquired Pacific Standard Service, a founder-led cooking equipment repair company, in March, and Easy Ice, which reports more than 40,000 ice machines under subscription in 47 states, bought a Philadelphia-area subscription business in August. Tech24's chief executive described what his company was buying as "deep hot-side expertise, a strong technician base, and national account relationships."

Coffee, vending and office refreshment services are growing and consolidating at the same time. The NAMA Foundation estimates US convenience services revenue at $31.1 billion in 2025, against $26.6 billion in 2023, and the National Coffee Association found that 66% of American adults drank coffee in the past day and 47% drank

specialty coffee. Ali Group acquired the coffee and beverage equipment maker Bunn in March, Royal Cup Coffee & Tea completed its take-private of Farmer Bros. in May, and Five Star Breaktime Solutions, a Freeman Spogli portfolio company, bought at least four family- and founder-owned vending and coffee service operators in Indiana, Ohio and Louisiana during the year.

Sales and marketing agencies that represent consumer packaged goods manufacturers are feeling their clients' budget pressure. Advantage Solutions reported second-quarter revenue of $889.5 million, up 1.8%, with its Branded Services segment down 20.1% on what the company called "constrained CPG spending, insourcing and select client losses" and its Experiential segment up 19.7%. Specialist agencies are still changing hands, and Benchmark International's client Telmark Sales Solutions was acquired by Market Performance Group, a Sentinel Capital Partners portfolio company.

DATE	BUYER (TYPE)	TARGET	BUSINESS	TERMS
Aug 19, 2026	Easy Ice (ice machine subscription platform)	Ice Systems USA leasing and subscription division	Ice machine subscriptions; Philadelphia and New Jersey	Asset purchase; not disclosed
Aug 18, 2026	KPS Global (Viessmann Generations Group)	Direct Refrigeration Sales	Aftermarket gaskets and door parts for walk-in coolers; Cumming, GA	Not disclosed
Aug 1, 2026	Intermountain Food Equipment (manufacturers' rep)	Power Rep Marketing Group	Manufacturers' rep firm; Arizona	Not disclosed
Jul 24, 2026	Five Star Breaktime Solutions (route platform)	Weber Custom Vending	Vending and micro-markets; southwest Ohio	Not disclosed
Jul 17, 2026	The Kitchen Guys (strategic dealer)	Hawk Inc.	Foodservice equipment dealer; central Alabama; founded 1978	Not disclosed
Jun 30, 2026	Parts Town (parts distributor)	86 Repairs	Repair-management software; Grand Rapids, MI	Not disclosed
May 20, 2026	Five Star Breaktime Solutions (route platform)	West Chester Vending	Vending routes; Fairfield, OH; founded 2011	Not disclosed
Apr 21, 2026	Chrane Foodservice Solutions (manufacturers' rep)	Heartland Reps	Manufacturers' rep firm; central United States	Not disclosed
Apr 1, 2026	Singer Equipment Co. (strategic dealer)	Bresco	Family-led foodservice equipment and supplies dealer; Birmingham, AL; $39.3 million of 2025 sales	Not disclosed
Mar 19, 2026	Tech24 (service company)	Pacific Standard Service	Cooking equipment repair; Albany, CA; founder-led	Not disclosed
Mar 12, 2026	Ali Group (strategic)	Bunn	Coffee and beverage dispensing equipment manufacturer	Not disclosed
Mar 12, 2026	Imperial Dade (sponsor-backed distributor)	BradyPLUS	Foodservice packaging and janitorial supply distribution; about $10 billion of combined revenue	Merger; terms not disclosed
Mar 9, 2026	AeriTek (Mill Point Capital)	Federal Industries	Food display cases; Belleville, WI; $35.7 million of fiscal 2025 revenue	Carve-out from Standex; enterprise value about $70 million
Feb 24, 2026	Aramark Refreshments (strategic)	Legend Food Service	Refreshment services operator; East Haven, CT	Not disclosed

DATE	BUYER (TYPE)	TARGET	BUSINESS	TERMS
Feb 13, 2026	Five Star Breaktime Solutions (route platform)	Krodel Vending	Family-owned vending operator; Jasper, IN	Not disclosed
Feb 13, 2026	Five Star Breaktime Solutions (route platform)	AM Coffee	Family-owned coffee and refreshment service; Shreveport, LA; founded 1981	Not disclosed
Jan 28, 2026	Wasserstrom (family-owned strategic)	Breckenridge Kitchen Equipment & Design	Foodservice equipment dealer and kitchen design firm; Huron, OH	Not disclosed
Dec 4, 2025	CFS Brands (strategic)	Cornerstone Foodservice Group	Maker of Spring USA, Equipex and LloydPans foodservice products	Not disclosed

Dealer, service and route acquirers rarely disclose prices, and the reasons these buyers gave were added geography, technician capacity and aftermarket coverage. Benchmark International has closed six transactions in its Foodservice & Distribution segment since January 2025, among them a buffet equipment designer acquired by a tabletop strategic, a bulk cooking oil distributor acquired by an oil collection company, and a distributor of premium outdoor kitchen appliances acquired by a private investment firm. It has five live engagements in the segment, comprising a foodservice equipment dealer, a convenience-store buying group and three sales and retail agencies for consumer products.

06 WHERE WE FOCUS
Consumer Services & Retail

Multi-site and route-based consumer services drew multi-billion-dollar financial-sponsor transactions this year, and the platforms those sponsors own are buying family-owned operators a few locations at a time. Demand conditions differ by category, with car wash memberships and collision same-store sales growing at the largest operators while housing-linked and discretionary home services softened through the summer.

$3.1B
Enterprise value of the Mister Car Wash take-private

23.1%
Record share of collision claims declared total losses

$83.5B
US equipment rental revenue forecast for 2026



Car wash. Leonard Green & Partners agreed in February to take Mister Car Wash private at $7.00 per share, an enterprise value of $3.1 billion, and completed the purchase on May 19 with about 550 locations. In its last quarter as a public company, Mister Car Wash reported net revenue of $277.9 million, up 6%, comparable-store sales up 3.9% and about 2.5 million subscription members, up 11%. The International Carwash Association's first-quarter 2026 industry survey found that nearly 90% of unlimited-membership subscribers intend to keep their memberships, that membership growth has slowed and that site density and competition have become operators' leading concern. Regional platforms are the active buyers of independents: El Car Wash bought the six-site Canton Car Wash in Baltimore in May, and Tidal Wave Auto Spa acquired six independent sites in Georgia and Alabama in September to reach 332 locations. Driven Brands sold its

US car wash business in April 2025 for $255 million of cash and a $130 million seller note and said it would use the proceeds to reduce debt.

Collision repair. Boyd Group closed its purchase of Joe Hudson's Collision Center on January 9 for about US$1.3 billion, adding 258 locations in the Southeast, and reported second-quarter sales of $1.013 billion, up 30%, with same-store sales up 2.9% across 1,321 locations. Industry claim volume is falling even as Boyd grows, and CCC Intelligent Solutions reports that total-loss frequency reached a record 23.1%, that repairable claims fell 9.7% in 2025 and that the average repair cost $4,818. CCC also reports that calibrations appeared on 28.3% of repairable appraisals and that insurer direct-repair programs handled 46.7% of appraisals. Insurer program relationships, manufacturer certifications and calibration capability carry weight when a buyer assesses a shop. Caliber entered northern New England by acquiring the ten-location Key Collision in August, and Classic Collision bought Kendrick Paint & Body, a nine-location business family-owned since 1952, in December 2025. Benchmark International's client Stepfar Investments, the owner of two Permian Basin collision centers, was also acquired by Classic Collision.

Equipment and event rental. The American Rental Association forecasts US equipment rental revenue of $83.5 billion in 2026, up 3.4%, and event rental revenue of $6.2 billion, up 9.5%. Growth at the national companies varies by line: United Rentals reported rental revenue up 12.7% in the second quarter, while Sunbelt Rentals' North American general tool rental revenue rose 2.1% in its fiscal 2026 against 5.8% for specialty. Independent rental companies are being bought by regional strategics and sponsor-backed platforms, as when Bay Crane acquired Clark Rigging & Rental, a second-generation company founded in 1954, and Houston Tents & Events acquired the founder-owned Jaacked Event Rentals in West Texas.

Home services. The largest residential platforms changed hands or raised capital at scale. Blackstone agreed to buy Champions Group for about $2.5 billion, Reuters reported in May that Alpine Investors' Apex Service Partners was nearing a minority stake sale at a valuation of about $10 billion including debt, and Oak Hill Capital agreed to buy Guild Garage Group, a two-year-old platform assembled from nearly 30 garage door companies, in a deal valued at more than $800 million on revenue above $300 million and EBITDA close to $50 million. PitchBook News described that price as 16 times EBITDA and quoted Soundcore Capital's founder on the arithmetic sponsors are underwriting in residential trades: "If we can buy in at 6 to 7 times and sell for 12, we've made a huge home run." Public acquirers kept buying as well, with Rollins completing nine acquisitions for $152.0 million in the first half of 2026 and Rentokil Initial, across its worldwide operations, buying fourteen businesses for $37 million against about $26 million of acquired revenue.

Residential demand softened through the summer: Rentokil cited weaker residential lead flow late in the second quarter and into July, Harvard's Joint Center for Housing Studies projects growth in home improvement and repair spending slowing to 0.5% by the second quarter of 2027, and existing-home sales are running near 4 million a year with the 30-year mortgage rate at 7.28%. Wrench Group moved $1.3 billion of debt to private credit lenders in September 2025 at a spread that priced 75 basis points wider than the loan it replaced.

Restaurants and retail. Denny's was taken private for $620 million in January, and franchisee bankruptcies have continued through the year. Retail bankruptcies in 2026 include Saks Global, Francesca's, QVC Group and the North American operator of Eddie Bauer, and Sleep Number filed in June. Store closures are running well below 2025 levels, with Coresight counting 3,321 announced closures through mid-year against 5,941 a year earlier, and sales continue to move online, where nonstore retailers grew 9.9% year over year in August against 4.3% for clothing stores.

DATE	BUYER (TYPE)	TARGET	BUSINESS	TERMS
Sep 24, 2026	Ridgeline Roofing & Restoration (Bertram Capital)	Advantage Roofing & Exteriors	Roofing and exteriors; Kalamazoo, MI; founded 1998	Not disclosed; eighth acquisition
Sep 18, 2026	Tidal Wave Auto Spa (platform)	Six independent car wash sites	Express car wash; Georgia and Alabama	Not disclosed

DATE	BUYER (TYPE)	TARGET	BUSINESS	TERMS
Aug 31, 2026	Caliber (strategic)	Key Collision	Ten collision centers; ME, NH and VT; founded 1992	Not disclosed
Aug 12, 2026	Bay Crane (strategic)	Clark Rigging & Rental	Crane and rigging rental; upstate New York; founded 1954	Not disclosed; owner remains
Jul 30, 2026	Houston Tents & Events (strategic)	Jaacked Event Rentals	Event rental; West Texas; founder-owned	Not disclosed
May 28, 2026	El Car Wash (platform)	Canton Car Wash	Six car wash sites; Baltimore	Not disclosed
May 19, 2026 (closed)	Leonard Green & Partners (private equity)	Mister Car Wash	About 550 car wash locations	Enterprise value $3.1 billion
Apr 13, 2026	Premier Equipment Solutions (Brenton Point Capital Partners)	New England Power Equipment and Saybrook Rentals	Equipment dealer and rental; Old Saybrook, CT	Not disclosed
Apr 2, 2026	Rollins (public strategic)	Romex Pest Control	Pest control; Utah; founded 2016	$95.7 million
Mar 9, 2026	Oak Hill Capital (private equity)	Guild Garage Group	Residential garage door service platform	More than $800 million
Feb 18, 2026	Blackstone (private equity)	Champions Group	Residential HVAC and plumbing platform	About $2.5 billion
Feb 17, 2026	Apex Tent and Party (strategic)	On Call Event Rentals	Event rental; Orange County, CA	Not disclosed
Jan 23, 2026	SPS PoolCare (Storr Group)	Pool Troopers	Residential pool service	Not disclosed; 191st acquisition since 2021
Jan 16, 2026 (closed)	TriArtisan, Treville and Yadav Enterprises	Denny's	Family dining chain	$620 million take-private
Jan 9, 2026 (closed)	Boyd Group (public strategic)	Joe Hudson's Collision Center	258 collision centers; Southeast	About US$1.3 billion
Jan 2026	The Riverside Company (private equity)	Certified Collision Group	Network of independent collision shops	From Incline Equity Partners
Dec 8, 2025	Classic Collision (strategic)	Kendrick Paint & Body	Nine collision centers; GA and SC; family-owned since 1952	Not disclosed

Benchmark International has closed 20 transactions in its Consumer Services & Retail segment since January 2025 and has 66 live engagements there. The live engagements comprise 35 home services contractors, 12 specialty retailers and 9 restaurant and catering groups, with fitness studios, event rental companies, an auto body shop and a pet urgent care business making up the remainder.

07 Selected Transactions

Seventeen of the 32 consumer transactions Benchmark International has closed since January 2025 are named in public announcements, and Benchmark International advised the seller in each of them. The month shown is the month in which each transaction was announced.

ANNOUNCED	CLIENT	BUSINESS	ACQUIRER	SEGMENT
Sep 2026	Gilco Restoration (Peerless Restoration Services)	Fire and water damage restoration; Williamsburg, VA	Thomasville Restoration, a restoration platform	Consumer Services & Retail
Sep 2026	Edison Martial Arts (Satori Academy)	Six martial arts academies; New Jersey	Elevate Youth Development, a sponsor-backed youth sports platform	Consumer Services & Retail
Jul 2026	Project Energy Savers (now Education & Outreach Company)	Customized educational and community outreach materials	WRS Group, a health education products company	Consumer Brands & Products
Jun 2026	Kittleson Landscape	Landscape design and installation; Madison, WI area	Lancaster Group, a private equity investment firm	Consumer Services & Retail
Jun 2026	Jagimo Corporation (J&G Lawn and Garden)	Landscape construction and maintenance; Fortuna, CA	Castleford Group, a private equity firm	Consumer Services & Retail
Mar 2026	Telmark Sales Solutions	Sales and marketing brokerage for consumer packaged goods	Market Performance Group, a Sentinel Capital Partners portfolio company	Foodservice & Distribution
Mar 2026	Stepfar Investments (Platinum Collision, Pat Gray Collision)	Two collision repair centers; Permian Basin, TX	Classic Collision, a national collision repair operator	Consumer Services & Retail
Feb 2026	M&M Roofing	Family-owned residential roofing since 1983; Texas	Allied Roofing Partners, a residential roofing group	Consumer Services & Retail
Jan 2026	Formulation Technology	Contract manufacturer of nutritional supplements; Oakdale, CA	AAVIN Private Equity	Food & Beverage
Dec 2025	Arocam	Customized youth sports apparel; Taunton, MA	Innova Capital, a private equity firm based in Warsaw	Consumer Brands & Products
Dec 2025	Stirling Food Systems	Bulk cooking oil distribution and collection; Ocala, FL	GreaseCycle, a strategic acquirer	Foodservice & Distribution
Jul 2025	Affordable Garage Door	Garage door sales, installation and repair; Indiana and Illinois	A.S.A.P. Garage Door Repair, a Centerfield Capital Partners portfolio company	Consumer Services & Retail
Jun 2025	GSM Wings (BreWingZ)	Sports bar and grill restaurant group; Texas	GPC Investments, a private holding company	Consumer Services & Retail
Jun 2025	Southern Pool Designs	Custom pool design and construction; Central Florida	An individual investor	Consumer Services & Retail

ANNOUNCED	CLIENT	BUSINESS	ACQUIRER	SEGMENT
Jun 2025	Smart Buffet Ware	Commercial buffet and food presentation equipment; Daphne, AL	Front of House Worldwide, a strategic acquirer	Foodservice & Distribution
Mar 2025	Nova Seafood	Seafood importer, processor and distributor; Portland, ME	Highwood Harbor, led by a seafood industry entrepreneur	Food & Beverage
Feb 2025	Palm Coast Sales	Distributor of premium grills and outdoor kitchen appliances; Jupiter, FL	Fourshore Partners, a private investment firm	Foodservice & Distribution

Earlier consumer engagements announced on benchmarkintl.com include GloveIt, a designer of women's golf, tennis and pickleball accessories acquired by Ruscan Chem; International Restaurant Distributors, a Florida foodservice equipment distributor acquired by Hart & Price; Espresso Parts, an e-commerce supplier of commercial coffee equipment acquired by Diversified Foodservice Supply; Sunny Morning Foods, an egg, dairy and ingredient distributor acquired by Burris Logistics; Bagel King Wholesale, a wholesale bakery acquired by Austin Circle Partners; W.A. Imports, a specialty food importer acquired by Forever Cheese; and X Caliber Container, a Texas provider of steel shipping and storage containers acquired by Longwater Opportunities.

08 What We're Seeing in the Consumer Sector

Brands with pricing power

Buyers favor brands and operators that have held both price and volume through the inflation of the past two years, and the gap between companies that can and cannot do so is visible in the data. Consumer prices rose 3.4% in the year to August while food-at-home prices rose 2.2%, and the producer price index for food manufacturing was essentially flat year over year while producer prices for final demand rose 5.4%. Food manufacturers' selling prices have therefore barely moved while prices across the wider economy rose, and the largest of them are reporting volume declines of one to two points.

Input costs are moving in different directions by category. USDA's Economic Research Service forecasts all food prices up 2.9% in 2026, with beef and veal up 9.4%, sugar and sweets up 6.6% and nonalcoholic beverages up 4.2%, while eggs are forecast down 29.4%. Cocoa averaged $5,619 per tonne in July, down 24% from a year earlier, and wheat averaged $229 per tonne, up 38%.

The same test applies outside food, where Circana's June data showed non-edible packaged goods up 3.1% in dollars and down 2.2% in units, and Traeger's grill revenue fell 17.0% in the second quarter as average selling prices declined. In consumer services, the International Carwash Association's survey found that about 79% of car wash customers would accept a price increase, and Mister Car Wash grew comparable-store sales 3.9% while adding members. A seller who can document price increases by product or service line, with unit volume and customer retention alongside, gives a buyer the evidence that supports a higher valuation.

Omnichannel growth

Businesses balanced across wholesale, retail, foodservice and e-commerce are less exposed to any single channel, and sales continue to move toward large omnichannel retailers and marketplaces. E-commerce reached $340.2 billion in the second quarter of 2026, up 12.2% year over year and equal to 17.1% of retail sales. Walmart's US e-commerce sales grew 24% in its quarter ended July and its global advertising revenue grew 38%, which makes a brand's position with Walmart, Target, Costco, Ulta and Amazon among the first things a buyer examines.

Consumer brand transactions in 2026 span a wide range of channel profiles. Not Your Mother's was sold to Henkel at roughly four times sales with distribution in more than 40,000 retail doors, Salt & Stone drew a majority investment from Advent with direct-to-consumer at 40% of sales and growth in every channel, and My Medic, sold almost entirely online, changed hands at about one times revenue. Category and growth differ among the three, so the comparison is indicative only.

Channel balance matters to food producers in the same way. General Mills' foodservice sales rose 4% in the quarter in which its North America retail sales fell 3%, and Hormel now earns about half of its profit in foodservice. Direct-to-consumer importers lost a cost advantage when duty-free treatment for shipments under $800 was suspended, and they now pay duty on every parcel.

Strategic portfolio building

Strategic acquirers are buying niche brands, capacity and distribution to fill category gaps faster than they could build them, and they are funding those purchases by selling what no longer fits. US transaction value doubled in the first five months of 2026 while the number of transactions fell 4%, according to PwC, and 39 deals above $5 billion accounted for $957 billion of the $1.2 trillion total.

DATE	BUYER	TARGET	VALUE	STATED MULTIPLE
Sep 30, 2026	Hormel Foods	Brakebush Brothers (prepared chicken)	About $1.06 billion	Not disclosed
Sep 2, 2026	Yellow Wood Partners	Nestlé Holistic Health (Nature's Bounty, Nuun)	$1.0 billion on $1.2 billion of 2025 sales	Not disclosed
Aug 4, 2026	Procter & Gamble	Thorne (supplements)	$3.8 billion	Not disclosed
Jul 21, 2026	Intersnack	Utz Brands	Enterprise value about $2.9 billion	Not disclosed
Mar 31, 2026	McCormick	Unilever's food business	Enterprise value about $44.8 billion	Not disclosed
Mar 30, 2026	Sysco	Jetro Restaurant Depot	Enterprise value about $29.1 billion	14.6x 2025 operating income (Sysco)
Mar 20, 2026	Prestige Consumer Healthcare	Breathe Right, Dimetapp, Anbesol	$1.045 billion	11.0x EBITDA (Prestige)
Jan 22, 2026	Clorox	GOJO Industries (Purell, family-owned)	$2.25 billion	Not disclosed
Jan 9, 2026 (closed)	Boyd Group	Joe Hudson's Collision Center	About US$1.3 billion	Not disclosed
Dec 11, 2025 (closed)	Mars	Kellanova	About $35.9 billion	Not disclosed
Nov 3, 2025	Kimberly-Clark	Kenvue	Enterprise value about $48.7 billion	14.3x LTM adjusted EBITDA (Kimberly-Clark)

Portfolio pruning supplies both the capital and the deal flow. General Mills completed the sale of its US yogurt business and its Brazil business and has set a target of $3 billion of cumulative savings by fiscal 2030, Conagra is exiting Celeste frozen pizza and reviewing its non-core businesses, and Keurig Dr Pepper plans to separate into a coffee company and a beverage company in early 2027. Bain finds that US consumer-products deals under $2 billion now represent 38% of activity, up from about 16%, that average US deal size fell from roughly $900 million in 2014–2018 to roughly $400 million in 2019–2024, and that 42% of executives surveyed plan to prepare an asset for sale within three years.

Most middle-market transactions fall below the federal premerger notification threshold, which is $133.9 million as of February 17, 2026. Scrutiny remains real for the largest combinations in concentrated channels: members of Congress have asked the FTC to investigate Sysco's acquisition of Jetro, and Sysco has said it expects to close by the first calendar quarter of 2027.

Multi-site consolidation

Car wash, collision repair, home services and rental keep consolidating under sponsor-backed platforms, and add-on acquisitions are the mechanism. PitchBook estimates that add-ons made up about 75% of US private equity buyouts in the second quarter of 2026. The cadence at individual platforms is high: SPS PoolCare has completed 191 acquisitions since its founding in 2021, Guild Garage Group made nearly 30 in two years before its sale to Oak Hill, El Car Wash grew from four locations in 2018 to about 100 by mid-2026, and Ridgeline Roofing has made eight acquisitions since Bertram Capital invested in January 2024.

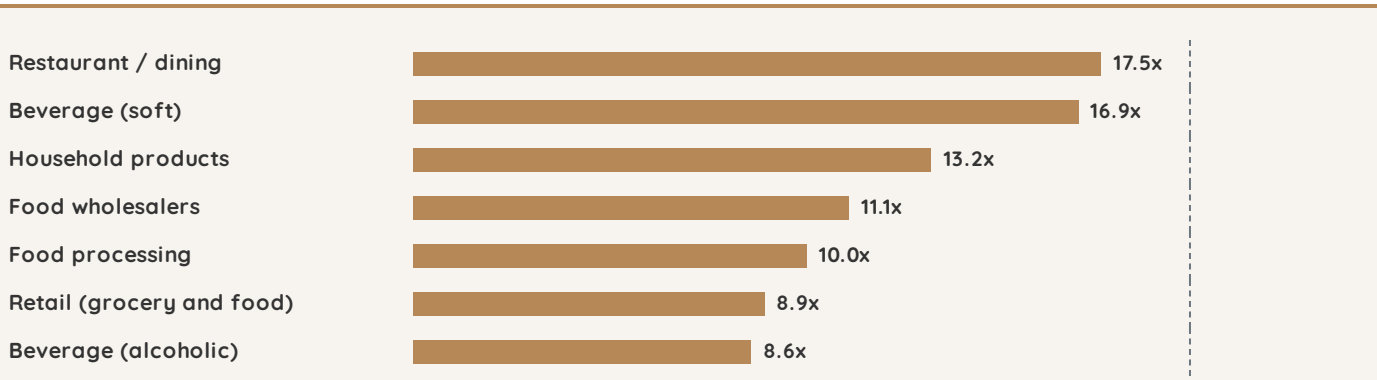
The economics rest on the difference between what a platform pays for a local operator and what the assembled platform is worth. The Guild Garage Group sale at a reported 16 times EBITDA, set against another sponsor's stated aim of buying at six to seven times, illustrates that difference. Sponsors also sell to one another once a

platform reaches scale, as when Riverside bought Certified Collision Group from Incline Equity Partners and when Odyssey Investment Partners kept a minority stake in Champions Group alongside Blackstone.

Platforms of this kind, including Classic Collision, A.S.A.P. Garage Door Repair, Allied Roofing Partners, Thomasville Restoration and Elevate Youth Development, have acquired several Benchmark International clients in consumer services. Structure deserves as much attention as price in these transactions. EM Exteriors, a roofing platform launched in September, takes 50% of each participating company and defers the cash event to a later sale of the combined platform, and its sponsor's founder describes the participating contractors as shareholders in the combined platform. An owner comparing offers from consolidators should weigh how much of the price is paid in cash at closing, how much is rolled into platform equity and what the platform's own leverage and exit timetable look like.

09 What Buyers Value

Public food, consumer staples and restaurant companies trade between roughly 9 and 17 times EBITDA, according to NYU Stern's January 2026 sector data, all below the 19.7 times of the broad US market. Smaller private companies generally change hands below those levels, with scaled platforms and category-leading brands as the exceptions.



Total US public market, 19.7x. NYU Stern (Damodaran), enterprise value multiples by sector, US public companies, data as of January 2026.

Where buyers have disclosed what they paid since early 2025, the prices vary widely with scale and are stated on different bases. Kimberly-Clark stated 14.3 times trailing EBITDA for Kenvue, Sysco stated 14.6 times operating income for Jetro and Prestige stated 11.0 times EBITDA for three over-the-counter brands. Church & Dwight's purchase of Touchland, at $700 million against about $55 million of trailing EBITDA, works out to about 12.7 times before an earn-out of up to $180 million, for a founder-led brand ranked second in its category. At the smaller end, HF Foods paid C$47.9 million, or 5.0 times projected EBITDA, for a specialty seafood distributor, Acme United paid $18.7 million for a direct-to-consumer first-aid brand with about $19 million of revenue, and Rentokil paid about 1.4 times revenue for the fourteen bolt-on acquisitions it made worldwide in the first half of 2026.

Brand equity

Buyers pay for recognized brands, loyal customers and demonstrable pricing power, and several strategic acquirers have described their criteria in similar terms. Church & Dwight set out its criteria when it bought Touchland: a number one or number two brand in its category, asset-light, growing and accretive to gross margin. Prestige described an "asset-light model" when it paid 11.0 times EBITDA for Breathe Right and two other

brands, and Procter & Gamble emphasized that about 60% of Thorne's revenue comes from consumers under 40 and that its revenue has grown more than 30% a year since 2023.

In consumer services the equivalent of brand equity is the recurring customer base. Customer contracts and goodwill made up about 89% of the $95.7 million Rollins paid for Romex Pest Control, according to the purchase price allocation in its quarterly filing, and Mister Car Wash reported its subscription membership count beside revenue in its last quarterly release as a public company.

Founder transitions are being priced through structure where the brand depends on the founder. Church & Dwight's purchase of Touchland carries an earn-out of up to $180 million and Authentic Brands Group's purchase of Lee carries one of $250 million, and founders stayed on as chief executive or chair at Touchland, Salt & Stone and Selkirk.

Channel diversity

Buyers pay for balanced exposure across retail, foodservice, e-commerce and wholesale, and they discount dependence on one retailer, one marketplace, one chain account or one co-manufacturer. In distribution the same principle applies to customer mix. US Foods grew case volume 5.1% with independent restaurants while its chain volume fell 1.5%, and franchisee bankruptcies this year have made receivables owed by leveraged chain operators a point of scrutiny. In collision repair the question is how revenue is spread across insurer programs, and in consumer products agencies it is how much revenue depends on a small number of manufacturer clients whose budgets are under pressure.

Margin & capacity

Buyers pay for gross margin that has held through tariff and fuel shocks and for production or distribution capacity they can fill. Bakery, snack and ingredient acquirers this year cited plants and geography as reasons to buy: Sweetmore acquired its first West Coast bakery, Rise expanded in the Northeast, and Europastry entered the United States through Highland Baking. GrubMarket bought a Houston produce house that has been family-led since 1910 for its customer base and a 75,000-square-foot cold-storage facility.

Margin history now has to be read across three tariff regimes and a fuel shock. Buyers are rebuilding landed cost by period and asking which customer contracts carry fuel surcharges or cost escalators and how quickly they reset. An owner whose company sits in a slower category can still draw competitive interest when the plant or warehouse has certified, available capacity that a strategic would otherwise have to build at today's construction and financing costs.

10 Who Is Buying

Founder- and family-owned consumer businesses are drawing bids from operating companies, from platforms that sponsors have already built and from investors making a first purchase in a category. Of the 17 acquirers in Benchmark International's announced consumer transactions since January 2025, nine were operating companies or platforms adding to an existing business, six were private equity or private investment firms and two were individual or entrepreneur-led buyers.

BUYER GROUP	ACTIVE IN THE 2026 MARKET	ACQUIRERS IN BENCHMARK INTERNATIONAL'S ANNOUNCED CONSUMER TRANSACTIONS, INCLUDING EARLIER DEALS
Public and large private strategics	Procter & Gamble, Hormel, Clorox, Henkel, Performance Food Group, Rollins, Boyd Group	Burris Logistics
Family-owned, regional and specialist strategics	Rich Products, Sargento, C.H. Guenther, Wasserstrom, Carmela Foods, Bay Crane	Front of House Worldwide, GreaseCycle, Hart & Price, Forever Cheese, Ruscan Chem, WRS Group
Consolidators and platforms making add-on acquisitions	Rise Baking, Western Smokehouse Partners, El Car Wash, Tidal Wave Auto Spa, Caliber, Ridgeline Roofing, SPS PoolCare, Five Star Breaktime Solutions	Classic Collision, A.S.A.P. Garage Door Repair, Allied Roofing Partners, Thomasville Restoration, Elevate Youth Development, Market Performance Group, Diversified Foodservice Supply
Private equity firms and family offices investing directly	Advent International, TSG Consumer Partners, TowerBrook, Acon Investments, Highlander Partners, Guardian Capital Partners, SouthWorth Capital Management	AAVIN Private Equity, Innova Capital, Lancaster Group, Castleford Group, Fourshore Partners, GPC Investments, Austin Circle Partners, Longwater Opportunities
Foreign strategics entering the United States	Intersnack, Europastry, Solina	
Brand-management firms	Authentic Brands Group, WHP Global	
Individual and entrepreneur-led buyers		Highwood Harbor; the individual investor who acquired Southern Pool Designs

Private equity enters the fourth quarter with capital to deploy and portfolios to sell. Bain's 2026 private equity report counts $1.3 trillion of dry powder, about 32,000 unsold portfolio companies worth $3.8 trillion and an average holding period at exit of about seven years, and PwC estimates that clearing the existing inventory at the current pace would take a near-record nine years. Add-on acquisitions for platforms those sponsors already own are the most common way they are deploying capital, at about three quarters of buyouts by count.

Financing cost separates these groups, and PitchBook reports that spreads on direct loans for buyouts widened by roughly 25 to 50 basis points in the second quarter of 2026, before the Federal Reserve's September increase. Strategic acquirers funding purchases from cash flow, family-owned strategics and platforms making small add-ons are less sensitive to that cost than a sponsor financing a new leveraged platform.

11 For Owners and Their Advisors

A private consumer company that reaches the market in the next twelve months will meet strategic, sponsor-backed and private buyers at the same time, and it will meet them while the cost of capital is rising.

- **Price and volume history.** Buyers want price increases shown by product or service line with unit volume, customer counts and retention beside them, because dollar growth alone no longer demonstrates demand.
- **Tariff history and refund claims.** Buyers are rebuilding gross margin under three successive tariff regimes and will ask for landed cost by period, the status of any refund of invalidated duties and the sourcing alternatives already qualified.
- **Fuel and freight pass-through.** With diesel up about 70% in a year, distributors and route-based service companies should be able to show which contracts carry fuel surcharges or cost escalators and how quickly they reset.

- **Customer and channel concentration.** Dependence on one retailer, one marketplace, one chain account, one insurer program or one co-manufacturer is a common reason for a buyer to shift price into an earn-out.
- **Receivables quality.** Franchisee bankruptcies this year make the aging and credit terms of chain and franchise accounts a point of scrutiny for any company that supplies restaurants.
- **Recurring revenue records.** Membership, subscription and service-agreement businesses should have enrollment, churn and renewal data by location, because the recurring customer base carries much of the value in a service business.
- **Consideration mix.** Offers from consolidators differ in how much is paid in cash at closing, how much is rolled into platform equity and how much is contingent, and those terms can matter as much as the headline price.

The SRS Acquiom 2026 deal terms study, as summarized by Fasken, found earn-outs in 24% of deals in 2025, with a median earn-out equal to 34% of the closing payment, representations and warranties insurance in 46% of deals and management rollover in 21%.

The Federal Reserve's projections hold the policy rate near 4.1% through the end of 2027, and the 10-year Treasury yield is above 5%. Buyers who finance with debt will carry that cost into their models, which favors sellers whose earnings are growing. Private equity's position supports demand at the same time, because sponsors hold $1.3 trillion of uncommitted capital and about 32,000 portfolio companies they have yet to sell.

ITEM	2026 POSITION	SOURCE
Long-term capital gains	20% rate applies above $613,700 of taxable income for joint filers and $545,500 for single filers	IRS Rev. Proc. 2025-32
Net investment income tax	3.8% above $250,000 of modified adjusted gross income for joint filers	IRS
Estate and gift exclusion	$15 million per person for 2026, indexed thereafter	26 USC 2010
Annual gift exclusion	$19,000 per recipient	IRS Rev. Proc. 2025-32
Qualified small business stock	50%, 75% and 100% gain exclusion at three, four and five years for C corporation stock acquired after July 4, 2025; cap of $15 million or ten times basis	26 USC 1202
Pass-through deduction	The 20% Section 199A deduction is now permanent	26 USC 199A
Premerger notification	Required above $133.9 million of transaction value	WilmerHale

Many family-owned consumer companies are S corporations or limited liability companies, so the qualified small business stock exclusion rarely applies to an existing business. The higher estate and gift exclusion matters more, because it gives owners room to move equity to the next generation or into trusts before a sale. The FTC's rule banning non-compete agreements is not in effect, and non-competes given by a seller in connection with a sale remain governed by state law. Owners should confirm their own position with their tax and legal advisors.

BENCHMARK INTERNATIONAL MIDDLE MARKET

Considering a transaction in the consumer sector?

Our first step is always a confidential conversation exploring your goals, your company and your options.



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12 Sources

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- USDA: Food Price Outlook; Food and beverage manufacturing; Food-away-from-home share; SNAP food restriction waivers
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- Internal Revenue Service and US Code: Rev. Proc. 2025-32; Net investment income tax; 26 USC 1202; 26 USC 2010; 26 USC 199A
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- Private Label Manufacturers Association; Brewers Association; National Restaurant Association 2026 forecast and Restaurant Performance Index; Black Box Intelligence
- National Retail Federation; American Pet Products Association; Outdoor Industry Association; Circana releases on beauty and toys
- International Carwash Association; American Rental Association forecast, as reported by Rental Equipment Register; CCC Intelligent Solutions Crash Course 2026, as reported by Barchart and Repairer Driven News
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- NAFEM 2026 advocacy issues survey; MAFSI second-quarter 2026 barometer, as reported by Foodservice Equipment & Supplies; Illinois Tool Works second-quarter 2026 results; Standex divestiture of Federal Industries; Imperial Dade and BradyPLUS merger

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- PwC: US Deals 2026 Midyear Outlook; Consumer Markets deals trends
- Bain & Company: Consumer Products M&A Report 2026; Global Private Equity Report 2026
- Deloitte holiday retail forecast
- Wiley, Section 301 tariffs on 60 trading partners; WilmerHale, 2026 HSR thresholds; Sandler, Travis & Rosenberg, de minimis; Fasken, SRS Acquiom 2026 deal terms study

COMPANY FILINGS AND RELEASES

- Transactions: Kimberly-Clark and Kenvue; Sysco and Jetro Restaurant Depot; Prestige Consumer Healthcare; Church & Dwight and Touchland; Acme United and My Medic; Mister Car Wash and Leonard Green; Boyd Group and Joe Hudson's; Rollins and Romex; Driven Brands
- Results: General Mills; Sysco; US Foods; Performance Food Group; Chefs' Warehouse; Walmart; Middleby; Advantage Solutions; Traeger; Rollins; Rentokil Initial; United Rentals; Sunbelt Rentals

TRADE AND BUSINESS PRESS

- Food Business News, Distribution Brief, Nation's Restaurant News, Foodservice Equipment & Supplies, Beauty Independent, SGB Media, Retail Dive, Pet Food Industry, Packaging Dive, Autobody News, FenderBender, Professional Carwashing & Detailing, Rental Equipment Register, Roofing Contractor, Private Equity Wire and Reuters; individual articles are linked where each transaction is cited.

BENCHMARK INTERNATIONAL

- Completed transaction and live engagement records as of October 1, 2026, and the transaction announcements published at benchmarkintl.com.

Important Disclosures

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